Revitalizing Revenue: Data-Driven Strategies for Sustainable Growth at Snooker Cafe

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Executive Summary

The following project is about Revitalizing Revenue in a data driven way. The project is done for a newly opened cafe 'The Snooker Café' which operates in Rohini, Delhi NCR.

The main objective of this project was to identify and analyze the critical factors impacting revenue and profitability, leveraging a robust business data management approach. At last, after all the required analysis is done, necessary insights are shared with the business to be implemented for maximizing its profitability.

All the possible data including operational and transactional data April to June 2025. The dataset was found to be clean and of high quality, with minimal missing values and noise, facilitating effective preprocessing and analysis. The analysis process is divided into two parts, Financial and Business. After the data was cleaned and was ready for analysis, analysis was done on some specific stock keeping units (SKUs) which were common in all projects because wood prices actually fall under fixed cost and it can not be manipulated by the business owner. Under Financial analysis, necessary data was extracted from the main cleaned tabular data and necessary graphs were plotted accordingly for inference. Under Business analysis, required business tools and services marketing concepts are used to suggest the proper strategies to reduce the losses and optimize on the respective resources.

After all the required analysis, necessary insights were shared with the business owner for further implementation and the necessary steps for implementation of the same.

Analysis Process

Raw data link: raw data

Analysis on data: snooker cafe data

The analysis began with consolidating all raw data related to the Snooker Cafe's operations into a comprehensive Excel workbook. This included daily sales records, item-wise profits, menu cost details, various expense types, and customer feedback collected from April to June 2025.

Data was sourced from both digital business records and physical logs such as customer reviews and daily sales sheets. All physical records were carefully digitized into spreadsheets to ensure consistency and facilitate accurate analysis. The data cleaning process involved standardizing date formats and monetary values, normalizing menu item names, and removing duplicates and irrelevant columns. Missing data points were imputed where appropriate. After these steps, the datasets were integrated by matching records on dates and item names, creating a unified and accurate foundation for further analysis.

To study business performance, the datasets were systematically organized and analyzed as follows:

- Sales Trends:

  A summary table was prepared to capture daily total sales revenue (combining cash and UPI payments). This time-aligned data enabled detailed time-series analysis of sales patterns.
- Monthly Analysis:

  Monthly totals for both sales and expenses were aggregated using SUM functions. To visualize this, a bar chart was plotted showing monthly sales alongside expenses. Expenses were further segmented into fixed and variable components and illustrated using a stacked bar chart for clear comparison.
- Cost and Profit Margins:

  Cost price, menu price, and profit margins for each menu item, as recorded in the Menu sheet, were verified and summarized. A detailed table highlighted the profit contribution of each item for every month, while overall gross profit was calculated to assess financial health.

- Sales Visualization:

  A line chart was generated with days (or months) on the x-axis and daily sales revenue on the y-axis to illustrate sales behavior and identify trends. A linear trendline was superimposed to capture the overall trajectory, making it easy to observe sales spikes, declines, and steady periods.
- Frequency Distribution of Sales:

  Using Excel's FREQUENCY function, daily sales were grouped into revenue intervals to build a frequency distribution. This analysis revealed how often sales fell within specific ranges each month, helping to identify common sales levels and variations.
- Profit Contribution by Each Item:

  By combining daily sales data with calculated profit percentages for each item, profit contributions were computed. The results were visualized using a pie chart, which helped identify the cafe's hero products driving most profits as well as the long tail of lower-contributing items.

Results and Findings

Financial analysis:

From the line chart of overall sales trend, it can be clearly observed that even though there are some ups and downs in the daily sales value, the linear trendline shows a negative slope which indicates a fall in sales. From the chart we can say that if this trend is followed then the business will face zero sales in future.

For further inference, we can say that the lowest sales happened on 26th June of 2025 and the highest sales happened on 10th May of 2025.

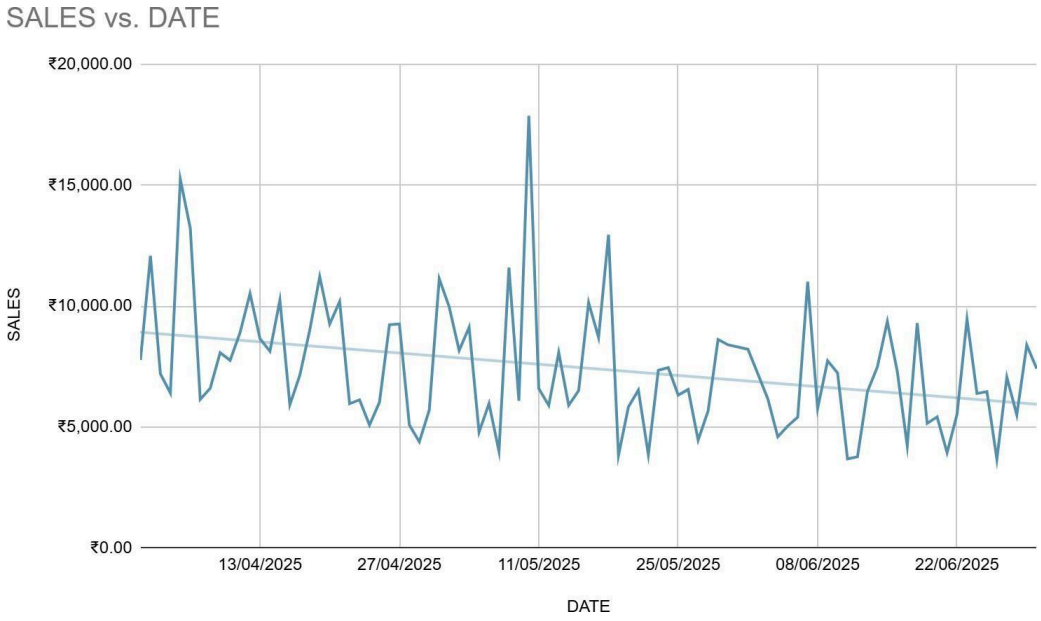


Fig-1: Overall Sales Trend

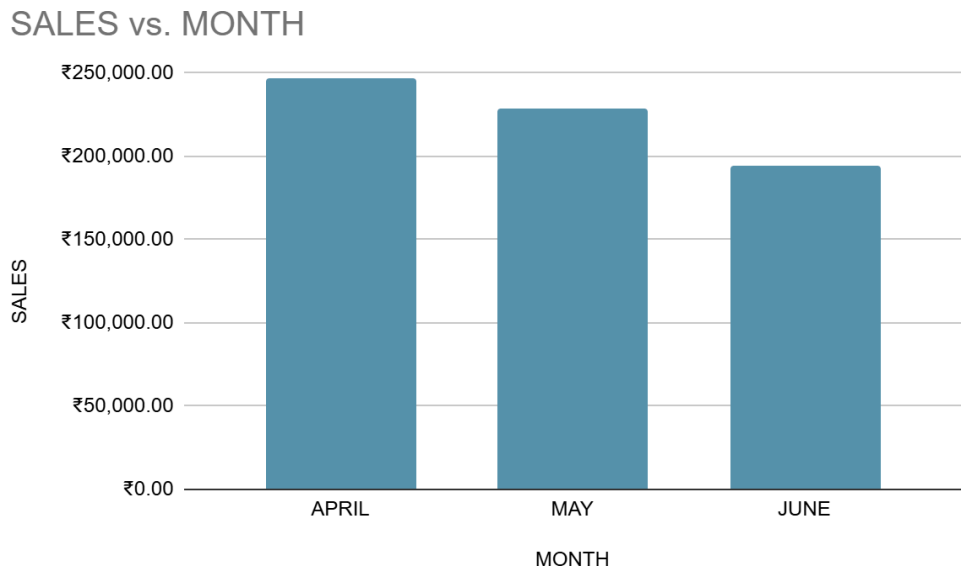


Fig-2: Monthly sales

From the graph, it is seen that there is a drastic drop in monthly sales from April 2025 to June 2025. From April 2025 to June 2025 there was a significant drop in sales of 21.2%(negative value).Now comes the first surprise, which no one saw coming. By looking at the raw data even after separation of the variable expenses and the fixed expenses, it was very unlikely to have so much volatility in variable cost which plays a huge role in profitability as monthly fixed and working cost are almost similar.

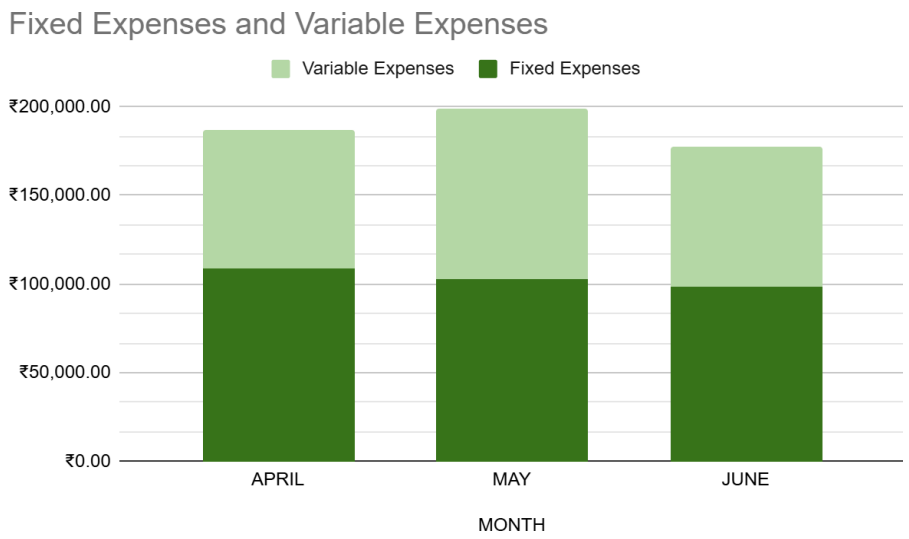


Fig-3: Fixed vs Variable Expenses

From the above stacked column chart, we can see that there is a breakdown of fixed and variable expenses across the months of April, May, and June.

Where the horizontal axis (x-axis) represents **'Months'** and the vertical axis (y-axis) represents **'Cost'**. In the graph two colours are used, **Dark green** for Fixed Expenses which is fairly consistent throughout the three months. These typically include rent, salaries, equipment maintenance, and other ongoing operational costs that don't fluctuate with production volume or sales, and **light green** for variable expenses showing fluctuating behavior. While May shows a slight increase compared to April, June sees a moderate dip, indicating that variable costs are either increasing or stagnating, but remain volatile on a daily basis.

This volatility in variable expenses suggests instability in components such as raw material usage.

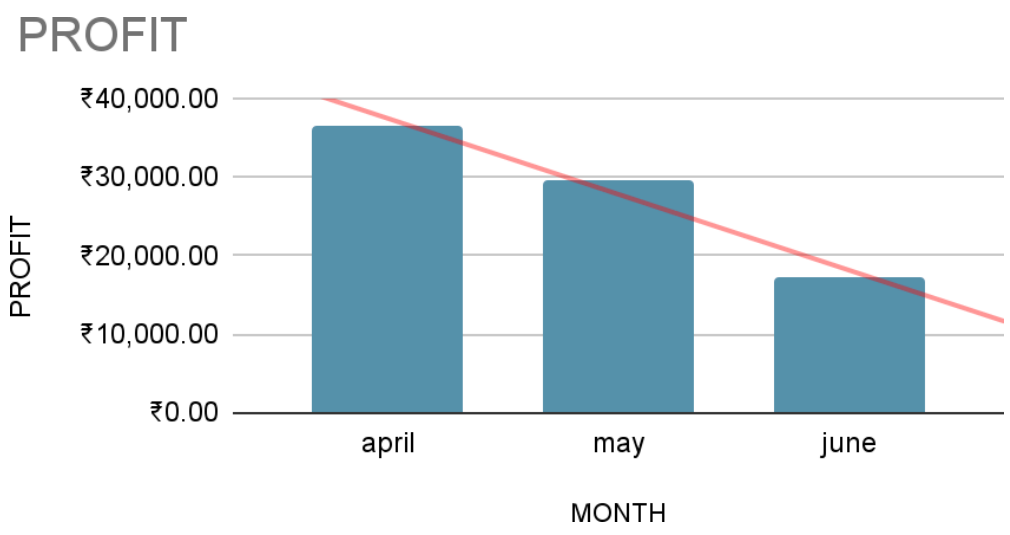


Fig-4: Monthly Profit

In the above bar graph, the horizontal axis (x-axis) represents **'months'** and the vertical axis (y-axis) represents the **'Profit'**. Also, the red trend line is for the linear trendline of profit. From the above graph, we can infer that there is a steep decline in the profit month on month. We can see that the Profit margins are shrinking because costs are not decreasing in proportion to the decline in sales.

While fixed expenses cannot be changed easily, high and erratic variable costs are eating into profits.

Financial Ratios:

Month	Profitability Ratio (Net Profit Margin)	Operating Ratio
APRIL	14.82%	75.69%
MAY	12.99%	46.63%
JUNE	8.85%	91.15%
Total	12.46%	69.58%

Table-1:Financial ratios

- This **Financial ratio** measures the percentage of sales that turn into profit after all expenses have been deducted. It shows how much profit is generated for every rupee of sales.
- This **Operating ratio** measures the percentage of sales that is consumed by all operating costs. A lower ratio indicates higher operational efficiency.

Menu analysis:

Most food and beverage items yield profit margins between 60-74%, with an average profit margin of 69.1%.

Food Item	Price (₹)	cost price	profit	% margin
Pizza				
Cheese Corn Pizza	329	110	219	66.57
Mushroom Pizza	329	120	209	63.53
Onion Capsicum Pizza	329	115	214	65.05
Cheese Pizza	329	105	224	68.09
Sweet Corn Pizza	329	110	219	66.57
Veg Fresh Pizza	329	115	214	65.05
Farm House Pizza	349	125	224	64.18
Onion Pizza	329	105	224	68.09

Noodles				
Veg Noodle	189	60	129	68.25
Hakka Noodle	239	75	164	68.62
Chilli Garlic Noodles	239	80	159	66.53
Singapore Noodles	239	85	154	64.44
Paneer Noodle	239	85	154	64.44
Garlic Noodle	239	80	159	66.53

Table-2: Menu

Some of the products being High-value and low cost items like maggi, fries and cold coffee have higher margins(71~74%) and drive volume whereas some premium products like sizzlers and platters despite popularity have lower margins (~50%).

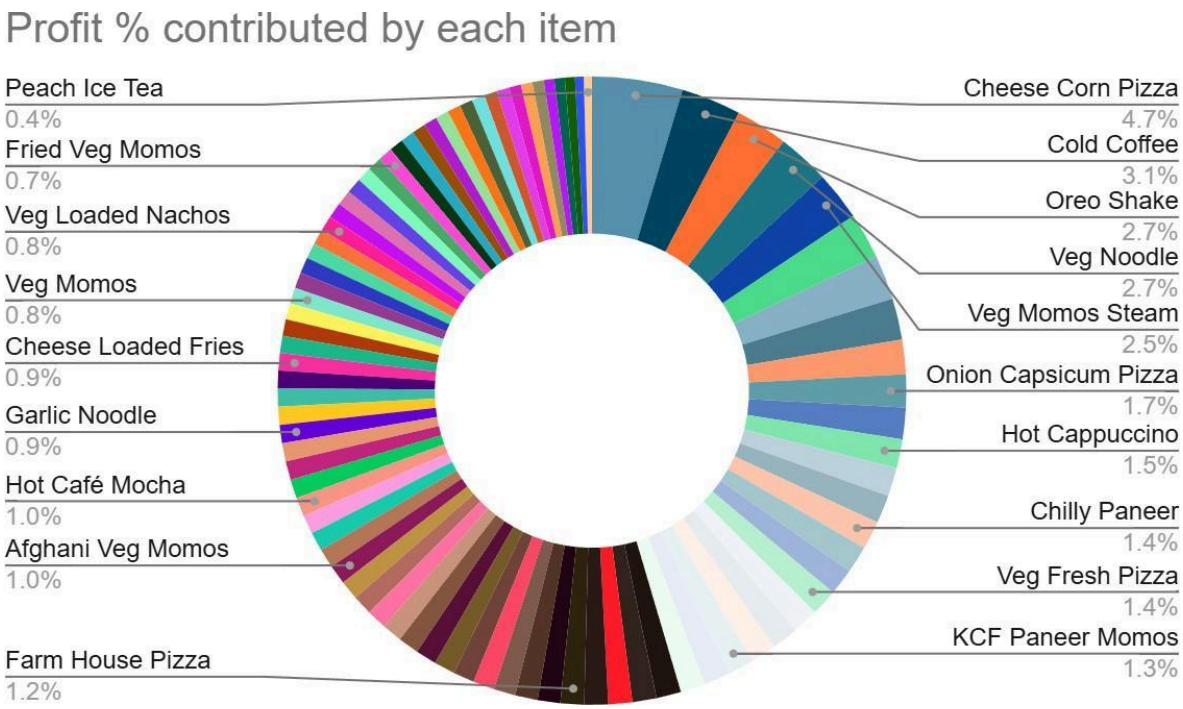
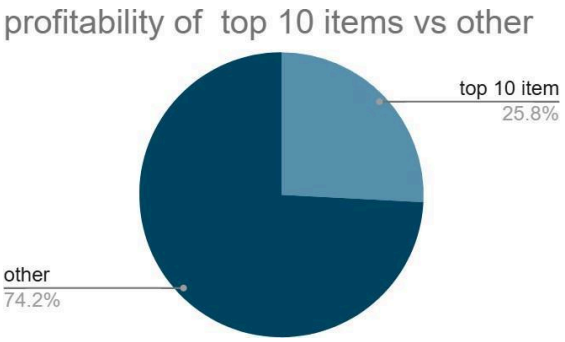


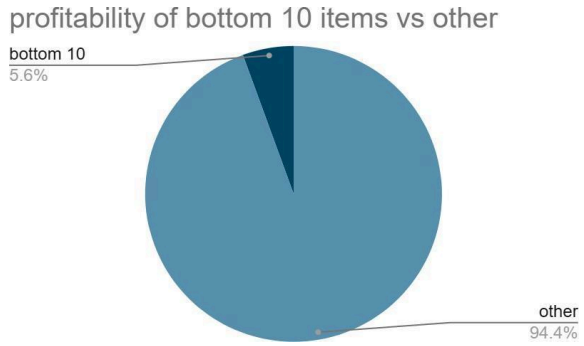
Fig-5: Profit %of each item

This doughnut chart shows the profit percentage contributed by each individual item in the menu. This also indicates a critical issue: the cafe offers a very wide variety of items. This leads to a high variable cost for less profitable products, as the cafe must purchase and stock

ingredients for a large menu, leading to potential waste and complex inventory management, directly impacting the overall profitability. A more detailed analysis can be derived from the following charts.



The pie chart's description reveals that profitability is not evenly distributed. The top 10 items alone account for over 25% of the total profit. This strongly suggests that a small number of popular, high-margin products are driving the majority of the cafe's financial success.Give the top 10 most profitable items prominent placement on the menu. This could be in a dedicated "Customer Favorites" section or with special highlights to guide customers towards these key products.



The bottom 10 items (which contribute less than 6% of profitability) represent a costly "long tail." These items are tying up valuable resources—ingredients, inventory space, staff time, and menu real estate—for a minimal financial return. The low contribution to profit, coupled with the high variable costs identified earlier, indicates that these items are a significant drain on the cafe's overall efficiency.In short, a small portion of the menu is responsible for a large portion of the profit, while a similar-sized portion of the menu is contributing very little, suggesting that it may even be running at a loss

Customer review:

To gain a deeper understanding of customer sentiment, a 10-question survey was conducted among patrons of the cafe. The survey was structured to analyze feedback across essential business pillars, including ambiance, overall experience, management efficiency, location convenience, and pricing. Furthermore, the questionnaire incorporated psychological questions to better connect with customers and assess their motivations. Below is a detailed analysis of the responses.

Fig-6: Customer Review

The customer review graph reveals a generally positive sentiment across all service aspects, with the highest number of “Excellent” responses observed for ambience and the likelihood of recommendation, indicating strong customer satisfaction in these areas. Quality and taste, location accessibility, and the overall vibe also received predominantly favorable feedback,

suggesting that the experience was enjoyable and the environment appealing. While staff reviews and value for money had a mix of “Good” and “Neutral” ratings, they still leaned positive, showing room for minor improvements. However, speed of service displayed relatively more neutral and poor responses, pointing to a potential weakness that could affect the overall experience. Overall, the data highlights high customer satisfaction with a few areas where service efficiency and pricing perception could be enhanced.

Business Analysis:

The 7Ps of Marketing Mix

The 7Ps framework provides a comprehensive overview of the Snooker Cafe's marketing strategy, integrating its unique business model with its target audience and market environment.

1. Product

The core product is not just a cafe or a snooker parlor, but a unique, combined leisure and dining experience.

- Core Offerings: The primary product is a venue for social gatherings, entertainment, and dining.
- Menu Diversity: The food and beverage menu is a key product component, offering a wide range of options from affordable snacks (Maggie, Fries) to full meals and platters (Pizza, Sizzlers). This caters to both quick visits and longer hangout sessions.
- Service & Experience: The quality of the snooker tables, the ambiance, and the social experience are integral parts of the product.

2. Price

The pricing strategy is tailored to the primary student demographic, balancing affordability with perceived value.

- Affordable Tier: The presence of items like Maggie (₹129) and Mojitos (₹139) allows students on a budget to patronize the cafe regularly.
- Medium-Priced Tier: The majority of the menu (Noodles, Wraps, Pasta) falls into a medium price range (₹189 - ₹339), suitable for a substantial meal.
- Premium Tier: Higher-priced items like platters and sizzlers (₹399 - ₹469) cater to group gatherings or special occasions, offering a higher perceived value for the price.
- Snooker Pricing: The pricing for the snooker tables itself is a critical component and must be competitive yet profitable, possibly with tiered rates for peak and off-peak hours.

3. Place

The cafe's location is its most significant strategic asset, directly addressing its target market.

- Physical Location: The cafe is situated in Rohini, strategically "close to DTU and other colleges." This prime location provides a built-in, consistent flow of its target student demographic.
- Physical Environment: The "place" is a dual-purpose physical space where customers can seamlessly transition between playing snooker and dining.

4. Promotion

The promotion strategy focuses on driving footfall and building brand loyalty within a competitive environment.

- Digital Marketing: The primary promotional channel is social media (Instagram, Facebook), used to advertise daily deals, special events, and student discounts.
- Student-Centric Promotions: Offering student ID discounts, combo deals (e.g., "Snooker & Snack" combos), and hosting inter-college tournaments directly appeals to the main customer base.
- Targeted Messaging: Promotional messages should highlight the unique combination of food and entertainment, positioning the cafe as the ideal hangout spot.

5. People

This refers to both the staff and the customer base, which are central to the cafe's operations and success.

- Staff: The quality and training of the staff who serve food, manage the snooker tables, and handle customer interactions are crucial for a positive customer experience.
- Customers: The target audience is primarily students, with opportunities to attract families and young professionals. Understanding and catering to these demographics is essential.

6. Process

The efficiency and effectiveness of service delivery are critical to managing a high-volume student crowd.

- Customer Journey: The process begins with the customer's arrival, includes efficient ordering and payment systems, and extends to the smooth booking and management of snooker tables.
- Operational Flow: The back-end processes, such as kitchen operations, table turnover, inventory management, and billing, must be streamlined to ensure a seamless experience and manage the "High Operational Costs."

7. Physical Evidence

The tangible elements of the cafe shape the customer's perception and experience.

- Ambiance: The fusion of a snooker parlor's atmosphere with a cafe's casual dining experience is the key physical evidence.
- Tangible Assets: The quality of the snooker tables, equipment, furniture, and tableware directly reflect the cafe's standards.
- Brand Elements: The cafe's branding, menu design, staff uniforms, and cleanliness all contribute to the overall physical evidence that influences a customer's decision to return.

SWOT MATRIX:

The SWOT analysis of the snooker café highlights its key strengths, such as a unique combination of a snooker parlor and a full-service café, a prime location near two major universities ensuring consistent student footfall, and a diverse, budget-friendly menu catering to varied tastes. However, it faces weaknesses like seasonal sales fluctuations during exam periods, high dependence on the student population, and elevated operational costs due to running both a café and a gaming area. Opportunities exist in expanding services with more games, targeting new customer segments beyond students, forming strategic partnerships with colleges, and leveraging social media for promotions. On the other hand, threats include intense competition from nearby entertainment options, shifting student preferences, economic downturns affecting spending, and university policy changes that may limit student access, all of which could adversely affect the café's performance.

Strengths

- **Unique Selling Proposition (USP):** The cafe offers a unique combination of a snooker parlor and a full-service cafe, providing both leisure and dining options in one place.
- **Prime Location:** Its proximity to two major universities guarantees a built-in, steady flow of the target student demographic.
- **Diverse Menu:** The extensive and varied menu, ranging from affordable snacks like Maggie to full platters and beverages, caters to a wide range of tastes and budgets.

Weaknesses

- **Seasonal Sales Fluctuation:** The business experiences a significant, predictable drop in sales during May, likely due to university examination periods.
- **High Dependence on Students:** The primary reliance on the student population makes the cafe vulnerable during academic holidays and breaks when students are away.
- **High Operational Costs:** Operating both a food establishment and a snooker parlor involves higher overheads for rent, utility bills, and equipment maintenance compared to a standard cafe.

Opportunities

- **Expand Service Offerings:** The cafe could introduce other popular games like foosball, board games, or darts to attract a broader audience.
- **Target a New Audience:** Marketing efforts can be directed at local families, residential communities, or young professionals to diversify the customer base.
- **Strategic Partnerships:** Collaborating with the universities for event sponsorship, student discount programs, or hosting inter-college tournaments can boost engagement and loyalty.
- **Leverage Digital Presence:** Utilizing social media platforms like Instagram and Facebook to promote daily deals, special events, and student discounts can increase footfall.

Threats

- **Intense Competition:** The presence of other cafes, food outlets, or entertainment centers in the Rohini area poses a constant threat to market share.
- **Changing Trends:** Student preferences are dynamic; a shift away from snooker or the cafe's specific offerings could negatively impact business.
- **Economic Conditions:** A downturn in the local economy could reduce the disposable income of students, leading to lower sales.
- **University Policy Changes:** Any changes in university schedules, curfews, or a move towards online classes could directly and severely impact the cafe's primary customer base.

PESTEL ANALYSIS:

The Snooker Cafe operates within a dynamic and multifaceted external environment, where its success is shaped by a variety of macro-environmental forces. To gain a comprehensive understanding of these influences, a PESTEL analysis has been conducted. This strategic framework evaluates the Political, Economic, Sociocultural, Technological, Environmental, and Legal factors that impact the business. The following analysis will delve into how these external elements create both opportunities and challenges for the cafe, from government regulations and economic trends to social behaviors and technological advancements, all of which are critical for sustainable growth.

Political

The Snooker Cafe's operations are significantly influenced by political and regulatory factors, particularly at the local level. As a business heavily dependent on the student population, it is highly vulnerable to university policies regarding curfews, on-campus events, or a shift towards online classes. Additionally, the cafe must navigate local government regulations for business licensing, commercial zoning in the Rohini area, and public health ordinances, all of which can affect operational costs and business hours.

Economic

The cafe's economic environment is characterized by its direct tie to the disposable income of its student clientele. This makes the business susceptible to wider economic conditions, such as inflation, which can increase the cost of food supplies and overheads. The most significant economic factor is the seasonal sales fluctuation, with a predictable and sharp drop in revenue during university examination periods and academic breaks when students are away, creating a major vulnerability for the business

Sociocultural

The sociocultural landscape is a primary driver of the cafe's success, as it caters directly to the lifestyle and preferences of young adults and college students. The cafe's unique value proposition of combining a snooker parlor with a dining space taps into the demand for social and experiential hangouts. However, the business must constantly adapt to changing student trends in entertainment and dining, as shifts in preferences away from snooker or the cafe's specific offerings could pose a significant threat.

Technological

Technology plays a crucial role in the cafe's ability to compete in a crowded market. The cafe leverages its digital presence on social media platforms like Instagram and Facebook to promote deals and engage with its primary demographic, which is essential for driving footfall. Operational efficiency is also tied to technology, including the use of modern Point of Sale (POS) systems for quick service and digital payment options that align with the expectations of its tech-savvy customers.

Environmental

While not the most immediate concern, environmental factors are becoming increasingly relevant, especially for businesses with a young customer base. The cafe's environmental impact includes waste management from food packaging and kitchen operations, as well as high energy consumption for lighting, air conditioning, and kitchen equipment. Adopting more sustainable practices, such as using eco-friendly packaging or reducing food waste, could enhance its brand image and appeal to a more environmentally conscious audience.

Legal

The cafe operates within a framework of various legal obligations that dictate its daily operations. This includes strict compliance with food safety regulations from authorities like the Food Safety and Standards Authority of India (FSSAI). Additionally, the business must adhere to local labor laws concerning employee wages and working hours, as well as ensure it has all the necessary licenses and permits for both its food establishment and leisure services to avoid legal penalties.

Interpretation of Results

The overarching problem facing the Snooker Cafe is a critical decline in profitability, despite a strong foundation built on a unique product and strategic location. The financial analysis clearly shows a negative sales trend and shrinking profit margins, culminating in a steep decline from 14.82% in April to a concerning 8.85% in June. This profitability crisis is not rooted in a lack of customer traffic—as validated by positive reviews on ambiance and location—but rather in a fundamental misalignment between the menu, operational costs, and pricing. The analysis of fixed versus variable expenses reveals a key vulnerability: while fixed costs are relatively stable, variable costs are highly volatile and are not decreasing in proportion to the drop in sales. This operational inefficiency is directly tied to the menu analysis, which exposed a "long tail" of underperforming items. The bottom 10 menu items contribute less than 6% to total profitability, yet they consume valuable resources, drive up inventory costs, and create unnecessary operational complexity. In essence, the cafe is highly profitable on its best-selling items, but this profitability is being significantly eroded by a broad and inefficient menu, which also contributes to a perception of poor value among some customers.

Recommendations for the Snooker Cafe

To reverse the negative trends and establish a path for sustainable growth, the Snooker Cafe must implement a strategic shift in its operational, marketing, and pricing models. The following recommendations draw directly from the identified problems of declining profitability, intense competition, and issues with location and resource optimization.

1. Strategic Menu and Resource Optimization

This recommendation directly addresses the core problem of declining profitability stemming from a bloated menu and inefficient resource allocation.

- Implement a Data-Driven Menu Pruning Strategy: Instead of offering a vast and unprofitable menu, the cafe should immediately identify and eliminate the bottom 10 items that contribute less than 6% to total profitability. This action is not about reducing variety but about enhancing efficiency. By removing these underperforming products, the cafe can drastically reduce variable costs related to food waste, complex inventory management, and ingredient spoilage. The resources and staff time freed up can then be redirected toward improving the quality and consistency of the most profitable items.

- Enhance and Promote Top-Selling Products: The analysis showed that a small number of items are responsible for a large portion of the profits. The cafe should capitalize on this. This involves not only giving these top-10 items prominent placement on the menu but also investing in their quality. Consider using premium ingredients or unique preparation methods to turn these bestsellers into signature items that define the brand. This strategy builds customer loyalty and ensures that every sales interaction is as profitable as possible.

2. Refined Pricing and Value Proposition

This strategy tackles the dual challenges of intense competition and customer sensitivity to pricing by repositioning the cafe's value proposition without simply raising prices.

- Develop a Tiered Pricing Structure for Snooker: To maximize revenue from its core offering, the cafe should abandon a flat pricing model. Instead, introduce dynamic pricing with a premium hourly rate during peak hours and an attractive, discounted rate for off-peak hours (weekdays before 5 PM). This not only increases revenue when demand is high but also encourages footfall during traditionally slower periods.

- Formalize and Innovate Combo Deals: To compete in a crowded market, the cafe must offer compelling value. Develop and aggressively promote curated combo deals that

bundle high-margin food items with snooker table time. For example, a "Student Hangout Combo" could include an hour of snooker and a specific platter at a bundled price that feels like a significant discount to the customer while ensuring a high profit margin for the cafe.

- Reinforce Value Through Experience: The customer review analysis indicated a mixed perception of "value for money." The cafe should leverage its strengths in ambiance and staff quality to justify its pricing. Train staff to proactively engage with customers, explain menu items, and ensure a premium service experience. By excelling in these non-tangible aspects, the cafe can transform a simple purchase into a memorable experience that justifies its pricing over competitors.

3. Overcoming Peripheral Location and Increasing Visibility

While the cafe benefits from its proximity to colleges, its "peripheral" location in the wider market requires a proactive and targeted marketing approach to drive footfall and build brand awareness.

- Implement Aggressive Digital and Social Media Campaigns: Given the target demographic's reliance on social media, the cafe must increase its digital marketing efforts. This includes running targeted ads on Instagram and Facebook to reach students in the Rohini area, posting high-quality, engaging content that showcases the unique vibe of the cafe, and creating user-generated content campaigns to encourage customers to share their experiences.

- Form Strategic Partnerships and Alliances: To overcome its physical visibility limitations, the cafe should form official partnerships with nearby colleges. This could involve sponsoring college events, offering exclusive discounts to students with a valid ID, or hosting inter-college snooker tournaments. Such collaborations would not only drive a consistent stream of customers but also embed the cafe's brand directly within its target community.

- Enhance Local Signage and Presence: Evaluate and improve the cafe's physical signage to make it more visible to foot and road traffic. This includes clear, prominent signboards that highlight the unique snooker-cafe combination. Consider using mobile marketing tactics, such as distributing flyers or running promotional stalls at college campuses during key times, to bring the brand directly to the customer.

---------- End of the report ----------